

long all these years, they'd be rich.)

Shorting is the same thing as borrowing something from the neighbors (in this case, you don't know their names) and then selling the item and pocketing the money. Sooner or later you go out and buy the identical item and return it to the neighbors, and nobody is the wiser. It's not exactly stealing, but it's not exactly neighborly, either. It's more like borrowing with criminal intent.

What the shorter hopes to do is to sell the borrowed item at a very high price, but the replacement item at a very low price, and keep the difference. You could do it with lawn mowers and garden hoses, I suppose, but it works best with stocks—especially stocks that are inflated in price to begin with. For instance, if you figured out that Polaroid was overpriced at \$140 a share, you could have shorted 1,000 shares for an immediate \$140,000 credit to your account. Then you could have waited for the price to drop to \$14, jumped in and bought back the same 1,000 shares for \$14,000, and gone home \$126,000 richer.

The person from whom you borrowed the shares originally will never have known the difference. These transactions are all done on paper and handled by stockbrokers. It's as easy to go short as it is to go long.

Before we get too excited about this, there are some serious drawbacks to going short. During all the time you borrow the shares, the rightful owner gets all the dividends and other benefits, so you're out some money there. Also, you can't actually spend the proceeds you get from shorting a stock until you've paid the shares back and closed out the transaction. In the Polaroid example, you couldn't simply take the \$140,000 and run off to France for a long vacation. You are required to maintain a sufficient balance in your brokerage account to cover the value of the shorted stock. As the price of Polaroid dropped, you could have taken some of the money out, but what if the price of Polaroid had gone up? Then you would have had to add more money to cover your position.

The scary part about shorting stock is that even if you're convinced that the company's in lousy shape, other investors might not realize it and might even send the stock price higher. Though Polaroid had already reached a ridiculous plateau, what if it had doubled once more to an even more ridiculous \$300 a share? If you were short then, you were very nervous. The prospect of spending \$300,000 to replace a \$140,000 item that you've borrowed can be disturbing. If you don't have the extra hundred thousand or so to put into your account to hold your position, you may be forced to liquidate at a huge loss.

None of us is immune to the panic that we feel when a normal stock drops in price, but that panic is restrained somewhat by our understanding that the normal stock cannot go lower than zero. If you've shorted something that's going up, you begin to realize that there's nothing to stop it from going to infinity, because there's no ceiling on a stock price. Infinity is where a shorted stock